

Contract & Building/Pest Inspection Red Flags — Northern Territory

What to check before you're legally committed.

Correct as at July 2026. General information only, not legal advice — always have a conveyancer or solicitor review your specific contract before signing.

Section 1 — Understanding the NT's Cooling-Off Period (Genuinely Different)

- ☐ [] **Know the NT's cooling-off period is 4 business days**, running from the day the contract is finally signed and exchanged by both parties.
- ☐ [] **Know it's typically penalty-free**. Unlike most other states where withdrawing during cooling-off costs you a percentage of the purchase price, the NT generally allows withdrawal within the period with no financial penalty.
- ☐ [] **Know both parties can vary it by agreement** — the cooling-off period can be extended, reduced, or waived if buyer and seller agree, giving genuinely more flexibility than the fixed statutory windows in most other states.
- ☐ [] **Understand once the period lapses, you're fully bound** — any withdrawal after this point carries real legal and financial consequences.

Section 2 — Building & Pest Inspection: Non-Negotiables

- ☐ [] **Book the inspection promptly within your cooling-off window**.
- ☐ [] **Use a licensed, independent inspector**, not one exclusively recommended by the selling agent without your own due diligence.
- ☐ [] **Get both a building and pest inspection**, ideally combined — termite risk is a genuine consideration across much of the NT's tropical and subtropical regions.
- ☐ [] **Ask specifically about**: cyclone/storm damage history and structural resilience (particularly relevant in Darwin and the Top End), roof condition, corrosion from humidity, rising damp, and general electrical/plumbing age.
- ☐ [] **Get the report in writing within your cooling-off window**.

Section 3 — Contract Fundamentals

- ☐ [] **Check special conditions carefully** — these can vary standard buyer protections.
- ☐ [] **Confirm finance clause terms** if you're not fully pre-approved.
- ☐ [] **Confirm the settlement date** works with your finance, insurance, and moving logistics.
- ☐ [] **Confirm deposit terms** — amount, due date, and where it's held.
- ☐ [] **Confirm all expected inclusions are explicitly listed** in the contract.
- ☐ [] **If buying a house-and-land package, confirm the single-contract structure required for the House and Land Package Exemption (HLPE)** — the duty waiver depends on the package meeting specific structural requirements, so confirm this with your conveyancer before signing.

Section 4 — Before You Sign: Final Checks

- ☐ [] **Have a conveyancer or solicitor review the contract before you sign**.
- ☐ [] **Confirm your cooling-off rights and their current terms** — since these can be varied by agreement, make sure you understand exactly what applies to your specific contract, not just the general statutory default.
- ☐ [] **Don't let time pressure rush your review**, even though the NT's flexible cooling-off arrangements provide more room than most states.

Quick Reference — Key NT Contract Protections

PROTECTION	WHAT IT MEANS
Cooling-off period	4 business days, generally no penalty
Flexibility	Can be extended, reduced, or waived by agreement between parties
Building/pest inspection	Not automatically provided — arrange your own
HLPE duty waiver	Requires a single contract structure — confirm eligibility before signing

© HouseHQ. General information only, current as at the date shown — not legal advice. Always engage a licensed conveyancer or solicitor to review your specific contract before signing.